DecoLux BUSINESS ALLIANCE

COMPREHENSIVE STRATEGIC DOCUMENT

Bel Décor × MEZZO GRP

Redefining Glass Decoration in Tunisia

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1. EXECUTIVE SUMMARY

1.1 Overview

DecoLux is a strategic business alliance between **Ridha (Bel Décor)** — a glass decoration expert with 15+ years of production mastery — and **Anthony (MEZZO GRP)** — a commercial strategist with premium design capabilities, showroom infrastructure, and investment capital.

Structured as a **SARL (Société à Responsabilité Limitée)** under Tunisian law, DecoLux targets the underserved glass decoration and personalization market across four high-potential segments: personalized glass objects, grande distribution packaging, cosmetics bottles, and olive oil bottles.

1.2 The Opportunity

Tunisia's glass decoration market lacks a structured, quality-driven industrial player. Growing demand across personalization, cosmetics, and olive oil export — combined with no dominant competitor — creates a significant first-mover opportunity. DecoLux fills this gap by combining craft expertise with commercial infrastructure.

1.3 Key Financial Highlights

METRIC	VALUE
Initial Investment	22,000 TND
Machine Assets (leased)	~50,000 TND
Monthly Operating Costs	~12,000 TND
Production Capacity	2,000 pieces/day
Break-Even Point	8,000 pieces/month
Revenue Potential	25,000 – 40,000 TND/month
Projected Payback	~2 months at operational maturity
Year 1 ROI	~109% (conservative)

1.4 Why This Partnership

Ridha cannot scale without commercial infrastructure. Anthony cannot produce without manufacturing expertise. Neither succeeds alone. Together, they control the entire value chain from raw glass to branded product in customer hands — creating a defensible competitive position in the Tunisian market.

2. STRATEGIC CONTEXT

2.1 Tunisia Economic Overview

Tunisia has a diversified economy with key strengths in manufacturing, agriculture (particularly olive oil), and services. The country offers:

- **Strategic location**: Gateway between Europe and Africa
- **Skilled labor force**: Competitive costs relative to European markets
- **Free trade agreements**: EU Association Agreement, various bilateral treaties

- **Growing domestic consumption**: Rising middle class with increasing demand for premium products
- **Export infrastructure**: Established ports and logistics for Mediterranean trade

2.2 Glass & Packaging Industry

The Tunisian glass industry serves both domestic and export markets. Key characteristics:

- **Import dependency**: Many premium decorated glass products are imported, creating substitution opportunity
- **Local production gap**: Limited local capacity for high-quality glass decoration and personalization
- **Growing segments**: Cosmetics packaging, olive oil branding, and personalized products growing faster than GDP
- **Competitive advantage**: Lower labor costs enable competitive pricing versus European decorated glass

2.3 Market Drivers

1. **Olive oil sector**: Tunisia exports 100,000-300,000 tons annually. Premium branded bottles add 30-50% to product value.
2. **Cosmetics growth**: North African beauty market growing 6-8% annually. Local brands increasingly demand local packaging.
3. **Personalization trend**: Wedding culture, corporate gifting, and events create steady demand for custom glass.
4. **Grande distribution expansion**: Retail chains modernizing and demanding standardized packaging solutions.

2.4 Competitive Landscape

COMPETITOR TYPE	PRESENCE	DECOLUX ADVANTAGE
Artisan workshops	Many, fragmented	DecoLux offers industrial scale + design quality
Import distributors	Active, costly	DecoLux provides local production at lower cost
Large glass manufacturers	Focused on raw glass	DecoLux specializes in decoration (value-add)
International brands	Limited local presence	DecoLux offers proximity and customization

DecoLux's competitive position: The only structured player combining artisan expertise (15+ years), industrial capacity (2,000 pcs/day), premium design, and showroom presence. This combination does not currently exist in the Tunisian market.

3. ALLIANCE VISION & MISSION

3.1 Vision

To become **Tunisia's premier glass decoration and personalization brand** — setting the standard for craftsmanship, design, and industrial quality across North Africa and the MENA region.

3.2 Mission

To deliver exceptional glass decoration solutions that **elevate brands, celebrate moments, and set new benchmarks** for the industry — by combining artisan expertise with commercial excellence.

3.3 Core Values

- **Craft Excellence**: 15+ years of quality is our identity, not just a selling point

- **Partnership Integrity**: Trust between partners extends to every client relationship
- **Innovation**: Traditional techniques enhanced by modern design thinking
- **Client Obsession**: Custom solutions over cookie-cutter products

3.4 Strategic Goals (5-Year)

TIMEFRAME	GOAL
Year 1	Establish DecoLux as an operational, profitable business with 20+ active clients
Year 2	Achieve 40,000+ TND/month revenue, expand product lines
Year 3	Explore export markets (Libya, Algeria, Europe), add second production line
Year 4	Establish DecoLux brand recognition across Tunisia, potential franchising
Year 5	Become the benchmark for glass decoration in North Africa

4. PARTNER PROFILES

4.1 Ridha — Bel Décor (Production Director)

Background

Ridha has dedicated over 15 years to mastering the art and science of glass decoration. Through Bel Décor, he has built a reputation for quality craftsmanship, serving clients across multiple market segments. His workshop has been the training ground for numerous glass decoration professionals.

Core Competencies

- **Glass decoration techniques**: Engraving, printing, painting, etching, frosting, color application
- **Production management**: Capacity planning, workflow optimization, quality assurance
- **Equipment expertise**: Machine operation, maintenance, calibration, and optimization
- **Quality control**: Defect detection, standards enforcement, continuous improvement

- **Training & development**: Capability to build production teams from scratch

Assets Contributed

ASSET	VALUE	MECHANISM
Glass decoration machines	~50,000 TND	Leased to DecoLux SARL
Client portfolio	[Valued during due diligence]	Operational transfer
Technical know-how	Invaluable	Day-to-day operational contribution
Industry relationships	Established	Supplier and industry connections

Role in DecoLux

Production Director: Oversees all manufacturing operations, quality control, production scheduling, equipment maintenance, workforce training, raw material sourcing, and technical innovation.

Strategic Importance

Ridha is the **operational core** of DecoLux. Without his expertise and machines, there is no production capability. His 15+ years of accumulated knowledge is the primary competitive moat — difficult for competitors to replicate and essential for product quality.

4.2 Anthony — MEZZO GRP (Commercial Director)

Background

Anthony brings commercial vision and premium design capabilities through MEZZO GRP. His strengths lie in brand positioning, market development, and creating product experiences that command premium pricing. His premises and showroom provide the physical infrastructure for client engagement.

Core Competencies

- **Commercial strategy**: Market analysis, pricing, channel development, go-to-market planning
- **Premium design**: Product design, packaging design, brand identity development
- **Business development**: Partnership creation, client acquisition, networking

- **Showroom management**: Client presentations, product display, experiential selling
- **Financial management**: Budgeting, reporting, business administration

Assets Contributed

ASSET	VALUE	MECHANISM
Premises & showroom	[Valued during due diligence]	Leased to DecoLux SARL
Investment capital	~22,000 TND	Cash injection into company
Design capabilities	Operational	Day-to-day contribution
Commercial network	Established	Business development leverage

Role in DecoLux

Commercial Director: Drives sales strategy, manages client relationships, leads design direction, oversees showroom experience, develops business partnerships, handles marketing, and manages financial administration.

Strategic Importance

Anthony is the **market-facing engine** of DecoLux. Without his commercial infrastructure and design capabilities, products cannot reach customers at premium prices. His showroom and investment capital enable the professional market presence that transforms craft into business.

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5. ALLIANCE STRUCTURE

5.1 Legal Structure

DecoLux SARL — Société à Responsabilité Limitée registered under Tunisian law (Code des Sociétés Commerciales, Loi n° 2000-93).

ELEMENT	DETAIL
Company name	DecoLux SARL
Ownership	50% Ridha / 50% Anthony
Management	Co-gérance (co-management)
Registered office	Tunisia
Activity	Glass decoration, personalization, packaging

5.2 Asset Structure (Leased Model)

A critical design choice: assets are **leased** to the company, not contributed as capital.

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┌──────────────────────────────────┐
│          DecoLux SARL              │
│     (Operating Company)          │
│                                  │
│  Leases machines ← Ridha        │
│  Leases premises ← Anthony      │
│  Cash investment ← Anthony      │
│                                  │
│  Revenue → Shared per agreement │
└──────────────────────────────────┘
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Why this structure:

- **Asset protection**: Machines and premises remain personal property
- **Downside protection**: If the company fails, each partner retains their assets
- **Flexibility**: Lease terms can be adjusted without changing company structure
- **Tax efficiency**: Lease payments are deductible expenses for the company
- **Compte courant**: Initial lease payments build shareholder loan balances, providing additional recovery mechanisms

5.3 Governance Overview

- **Co-gérance**: Both Partners serve as co-managers

- **Domain autonomy**: Each director operates independently within their domain
- **Major decisions**: Require unanimous consent (>5,000 TND expenses, hires, contracts >10,000 TND)
- **Steering committee**: Monthly meetings for strategic oversight
- **Deadlock resolution**: Mediation → Arbitration (Tunisian Chamber of Commerce)

6. VALUE PROPOSITION ANALYSIS

6.1 Value for Ridha

BENEFIT	DESCRIPTION
Commercial infrastructure	Access to premises, showroom, and sales network he lacks individually
Premium brand positioning	DecoLux brand commands higher prices than standalone Bel Décor
Investment capital	22,000 TND working capital without personal financial risk
Design capabilities	Anthony's premium design elevates product quality and market appeal
Scale opportunity	From workshop owner to co-director of a structured industrial business
Revenue security	Guaranteed management salary + profit share (not dependent on sales alone)
Asset protection	Machines remain his property (leased, not contributed)

6.2 Value for Anthony

BENEFIT	DESCRIPTION
Production capability	Access to 2,000 pieces/day capacity he cannot build alone
Technical expertise	15+ years of glass decoration knowledge — impossible to hire or replicate quickly
Client portfolio	Existing client base provides immediate revenue foundation
Low-cost entry	22,000 TND investment for access to 50,000+ TND in production assets
Trained workforce	Ridha's ability to recruit and train production staff
Quality assurance	Established QC processes ensure consistent product quality

6.3 Value for Joint Customers

BENEFIT	DESCRIPTION
Full-service offering	Design + production + delivery from a single source
Premium quality	Artisan expertise combined with industrial consistency
Customization	From single pieces to large orders — flexible to customer needs
Showroom experience	Physical space to see, touch, and discuss products
Competitive pricing	Local production eliminates import costs and markups
Speed	Proximity and control over production = faster turnaround

6.4 Competitive Advantage Created

The DecoLux alliance creates a **uniquely defensible market position**:

1. **No other player** in Tunisia combines 15+ years glass decoration expertise with industrial capacity AND premium design AND showroom presence
2. **Full value chain control** from raw material to finished product in customer hands
3. **Dual brand equity**: Bel Décor credibility + MEZZO GRP commercial sophistication

4. **Cost structure**: Leased assets keep fixed costs low while enabling full capability
5. **Barrier to entry**: Replicating this combination requires years of expertise development + capital + commercial network — simultaneously

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7. MARKET ANALYSIS

7.1 Target Market Segments

Segment 1: Personalized Glass Objects (Priority)

- **Market size**: Growing — weddings, corporate gifts, events, tourism
- **Target customers**: Event planners, wedding coordinators, corporate buyers, tourism shops
- **Average order**: 50-500 pieces
- **Margin**: 1.0 – 2.5 TND/piece (highest margin segment)
- **Growth driver**: Personalization culture, social media visibility
- **DecoLux advantage**: Custom capabilities + showroom for design consultation

Segment 2: Grande Distribution Packaging

- **Market size**: Large — retail chains, food & beverage companies
- **Target customers**: Carrefour, Monoprix, Géant, local brands
- **Average order**: 1,000-10,000+ pieces
- **Margin**: 1.5 TND/piece (volume-driven)
- **Growth driver**: Retail modernization, packaging standards
- **DecoLux advantage**: Industrial capacity at competitive pricing

Segment 3: Cosmetics Bottles

- **Market size**: Growing 6-8% annually across North Africa
- **Target customers**: Tunisian beauty brands, regional cosmetics companies
- **Average order**: 500-5,000 pieces
- **Margin**: 1.5 – 2.5 TND/piece
- **Growth driver**: Local beauty industry growth, import substitution

- **DecoLux advantage**: Premium design + production quality

Segment 4: Olive Oil Bottles

- **Market size**: Significant — Tunisia exports 100K-300K tons annually
- **Target customers**: Olive oil producers, export cooperatives, premium brands
- **Average order**: 1,000-20,000+ pieces
- **Margin**: 1.0 – 2.0 TND/piece
- **Growth driver**: Export premiumization, branded vs. bulk export trend
- **DecoLux advantage**: Quality decoration adds 30-50% to perceived product value

7.2 Customer Segmentation

CUSTOMER TYPE	VOLUME	FREQUENCY	MARGIN	PRIORITY
Event/wedding clients	Low-medium	Seasonal	High	Immediate
Corporate clients	Medium	Quarterly-annual	High	Immediate
Beauty brands	Medium-high	Recurring	Medium-high	Year 1
Food & beverage	High	Recurring	Medium	Year 1
Olive oil producers	High	Seasonal-recurring	Medium	Year 1-2
Export clients	Variable	Recurring	Variable	Year 2+

7.3 Addressable Market Sizing

LEVEL	ESTIMATE	BASIS
TAM (Total Addressable Market)	~5M TND/year	All glass decoration demand in Tunisia
SAM (Serviceable Available Market)	~2M TND/year	Segments we can realistically address
SOM (Serviceable Obtainable Market)	~480K TND/year	Year 1 target (40K/month × 12)

8. FINANCIAL PLAN

8.1 Capital Requirements

Initial Investment: 22,000 TND

CATEGORY	AMOUNT (TND)	SOURCE
Working capital (materials, supplies)	8,000	Anthony
Setup costs (showroom, utilities, deposits)	6,000	Anthony
Marketing & launch (branding, website, materials)	4,000	Anthony
Legal & registration (SARL, permits, licenses)	2,500	Anthony
Contingency reserve	1,500	Anthony
Total	**22,000**	**Anthony (MEZZO GRP)**

Note: Ridha's contribution is the machine lease (valued at ~50,000 TND) and expertise. Anthony's contribution is cash investment + premises lease.

8.2 Revenue Model

Revenue by Product Line

PRODUCT	PRICE/PIECE (TND)	MARGIN/PIECE (TND)	TARGET VOLUME (MONTH)	MONTHLY REVENUE (TND)
Personalized glass	3.0 – 5.0	1.0 – 2.5	3,000 – 5,000	9,000 – 25,000
Grande distribution	2.5 – 3.5	1.5	5,000 – 15,000	12,500 – 52,500
Cosmetics bottles	4.0 – 6.0	1.5 – 2.5	1,000 – 3,000	4,000 – 18,000
Olive oil bottles	2.5 – 4.0	1.0 – 2.0	2,000 – 5,000	5,000 – 20,000

Blended target at maturity: 25,000 – 40,000 TND/month from a mix of all four segments.

8.3 Cost Structure

Monthly Operating Costs: ~12,000 TND

COST ITEM	ESTIMATED (TND)	% OF TOTAL
Machine lease (to Ridha)	2,000	17%
Premises lease (to Anthony)	2,000	17%
Raw materials & supplies	3,000	25%
Labor (production staff, 2-3 employees)	3,000	25%
Utilities (electricity, water, gas)	800	7%
Marketing & sales	500	4%
Administration, accounting, legal	400	3%
Miscellaneous & contingency	300	3%
Total	**~12,000**	**100%**

Management salaries (Ridha + Anthony) are additional and to be agreed upon separately.

8.4 Break-Even Analysis

- **Fixed monthly costs**: ~12,000 TND
- **Average margin per piece**: ~1.5 TND (blended across product lines)
- **Break-even volume**: 12,000 ÷ 1.5 = **8,000 pieces/month**
- **Break-even as % of capacity**: 8,000 ÷ 44,000 = **18%** of full monthly capacity
- **Break-even timeline**: Month 3-4 (based on ramp-up projections)

8.5 Five-Year Projections

PERIOD	REVENUE/MONTH	COSTS/MONTH	PROFIT/MONTH	ANNUAL PROFIT	CUMULATIVE
M1-3	5K – 10K	12K	-7K to -2K	—	-18K
M3-6	15K – 20K	12K	3K – 8K	—	-2K
M6-12	25K+	14K	11K+	—	+64K
Year 1 Total	—	—	—	**~24K**	**+24K**
Year 2	40K+	16K	24K+	~288K	+312K
Year 3	55K+	20K	35K+	~420K	+732K
Year 4	70K+	25K	45K+	~540K	+1,272K
Year 5	85K+	30K	55K+	~660K	+1,932K

Year 2+ projections include increased costs for additional staff, expanded marketing, and potential second equipment line.

8.6 ROI Analysis

METRIC	VALUE
Total Investment	22,000 TND
Year 1 Net Profit (conservative)	~24,000 TND
Year 1 ROI	**109%**
Payback Period	**~2 months** at operational maturity
5-Year Cumulative Profit	~1,932,000 TND
5-Year ROI	**8,782%**

9. IMPLEMENTATION ROADMAP

Phase 1: Foundation (Month 1-3)

WEEK	ACTION	RESPONSIBLE
1	Sign MOU	Both Partners
2-3	Machine valuation by independent expert	External expert
2-3	Premises inspection and lease negotiation	Anthony
3-4	Legal review by each Partner's counsel	Legal advisors
4-6	SARL registration (RNE, tax ID, bank account)	Both + legal
5-7	Machine installation and premises preparation	Ridha
6-8	First production test runs	Ridha
8-10	First client outreach and orders	Anthony
10-12	First deliveries and quality validation	Both

Target: Production operational, first 5 clients active, revenue 5K-10K TND/month.

Phase 2: Market Penetration (Month 3-6)

- Scale production to 1,000 pcs/day
- Activate 10+ clients across multiple segments
- Open showroom for client visits
- Launch DecoLux brand identity (logo, website, materials)
- Refine product portfolio based on market feedback
- **Target**: Break-even achieved, revenue 15K-20K TND/month

Phase 3: Operational Maturity (Month 6-12)

- Reach full capacity of 2,000 pcs/day
- 20+ active recurring clients
- Cosmetics and olive oil segments activated
- Brand recognition building in target markets
- First quarterly business review with adjustments
- **Target**: Revenue 25K+ TND/month, profitability established

Phase 4: Scale (Year 2)

- Evaluate additional equipment needs
- Expand product lines (new glass types, techniques)
- Hire additional production and sales staff
- Explore adjacent markets (ceramics, promotional items)
- **Target**: Revenue 40K+ TND/month

Phase 5: Growth & Expansion (Year 3-5)

- Export market entry (Libya, Algeria, Europe)
- Potential second production facility
- Brand licensing or franchising opportunities
- Strategic partnerships with international brands
- **Target**: Revenue 55K-85K+ TND/month, regional market leadership

10. GOVERNANCE & OPERATIONS MANUAL

10.1 Organizational Structure

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                    │   DecoLux SARL       │
                    │   Steering Committee │
                    │   (Both Partners)    │
                    └──────────────────────┘
                              │
                              │
              ┌───────────────┴───────────────┐
              │                               │
┌─────────────▼──────────┐            ┌─────────────▼──────────┐
│  RIDHA                 │            │  ANTHONY               │
│  Production Director   │            │  Commercial Director   │
├────────────────────────┤            ├────────────────────────┤
│ Manufacturing          │            │ Sales & Marketing      │
│ Quality Control        │            │ Design Direction       │
│ Training               │            │ Showroom               │
│ Production Planning    │            │ Business Dev           │
│ Equipment Mgmt         │            │ Administration         │
│ Supply Chain           │            │ Finance/Reporting      │
└────────────────────────┘            └────────────────────────┘
              │                               │
┌─────────────▼──────────┐            ┌─────────────▼──────────┐
│ Production Staff       │            │ Sales Team (future)    │
│ (2-3 initially)        │            │                        │
└────────────────────────┘            └────────────────────────┘
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10.2 Decision-Making Authority Matrix

DECISION	< 5K TND	> 5K TND	STRATEGIC
Within own domain	Individual	Unanimous	Steering
Cross-domain	Both	Unanimous	Steering
Financial distribution	—	Unanimous	Annual GM
New product/market	—	Unanimous	Steering
Personnel changes	Notify	Unanimous	Steering

10.3 Communication Protocol

- **Daily**: Informal updates between directors (in-person or digital)
- **Weekly**: 30-minute operational sync (production volumes, orders, issues)
- **Monthly**: 2-hour steering committee (KPIs, decisions, planning)
- **Quarterly**: Half-day business review (financials, strategy, health check)
- **Annually**: Full-day strategic assessment (year-end, goal setting)

10.4 Reporting Requirements

REPORT	FREQUENCY	PREPARED BY	CONTENTS
Production log	Daily	Ridha	Output, defects, machine status
Sales pipeline	Weekly	Anthony	Orders, prospects, revenue forecast
Financial summary	Monthly	Anthony + accountant	P&L, cash flow, balance
KPI dashboard	Monthly	Both	All tracked metrics
Strategic review	Quarterly	Both	Market, competition, adjustments
Annual report	Annually	Both + auditor	Full financial + strategic assessment

10.5 Conflict Resolution Protocol

1. **Informal discussion** (immediate — between partners directly)
2. **Structured session** (within 7 days — documented, agenda-driven)
3. **Advisor facilitation** (within 21 days — agreed external advisor)
4. **Formal mediation** (within 60 days — Tunisian Chamber of Commerce)
5. **Binding arbitration** (if mediation fails — CACI, Tunis)

11. PERFORMANCE MANAGEMENT

11.1 KPI Framework

Financial KPIs

KPI	TARGET	FREQUENCY
Monthly revenue	25K+ TND (by M6)	Monthly
Gross margin	>50%	Monthly
Operating profit margin	>30% (at maturity)	Monthly
Cash flow	Positive from M4	Monthly
ROI	>100% Year 1	Annually

Operational KPIs

KPI	TARGET	FREQUENCY
Daily production output	2,000 pieces	Daily
Defect/rejection rate	<2%	Weekly
On-time delivery	>95%	Monthly
Machine utilization	>75%	Monthly
Raw material waste	<5%	Monthly

Customer KPIs

KPI	TARGET	FREQUENCY
Active clients	20+ (by M12)	Monthly
Client satisfaction	>8/10	Quarterly
Repeat order rate	>60%	Quarterly
Average order value	Increasing trend	Monthly
New client acquisition	3+ per month	Monthly

Relationship KPIs

KPI	TARGET	FREQUENCY
Partner satisfaction	>8/10	Quarterly
Decision-making speed	<5 days for major decisions	Monthly
Conflict escalation rate	<1/quarter	Quarterly
Joint meeting attendance	100%	Monthly

11.2 Review Process

- **Monthly**: Production and sales review against targets
- **Quarterly**: Full KPI dashboard review + relationship health assessment
- **Annually**: Comprehensive strategic performance evaluation

- **Action plans**: Generated for any KPI below target for 2+ consecutive months

12. RISK ASSESSMENT

12.1 Risk Register

#	RISK	CATEGORY	PROBABILITY	IMPACT	SEVERITY	MITIGATION
1	**50/50 Deadlock**	Governance	Medium	High	**Critical**	Mediation clause, casting vote protocol on predefined topics, professional facilitator
2	**Ownership Dilution**	Financial	Low	High	**High**	Anti-dilution clauses, pre-emption rights, lock-up period
3	**Commercial Control Loss**	Strategic	Medium	High	**Critical**	Defined domains, client data as company asset, non-compete, CRM transparency
4	**Revenue Shortfall**	Financial	Medium	Medium	**Medium**	Phase gates, diversified product lines, flexible cost structure
5	**Key Person Dependency**	Operational	Low	Critical	**High**	Process documentation, cross-training, insurance, SOPs
6	**Quality Degradation**	Operational	Low	High	**Medium**	QC processes, defect tracking, customer feedback loop
7	**Market Competition**	Strategic	Medium	Medium	**Medium**	Brand differentiation, innovation, customer relationships, speed
8	**Regulatory Changes**	Legal	Low	Medium	**Low**	Legal monitoring, compliance reviews, flexible structure

#	RISK	CATEGORY	PROBABILITY	IMPACT	SEVERITY	MITIGATION
9	**Equipment Failure**	Operational	Medium	Medium	**Medium**	Maintenance schedule, insurance, repair fund, supplier relationships
10	**Partner Trust Breakdown**	Relationship	Low	Critical	**High**	Regular health checks, transparent communication, mediation access

12.2 Risk Mitigation Budget

- **Insurance**: Equipment insurance, professional liability — ~1,000 TND/year
- **Legal retainer**: Ongoing legal counsel access — ~500 TND/year
- **Maintenance fund**: Equipment repair reserve — 300 TND/month
- **Contingency reserve**: General reserve — 1,500 TND (initial) + ongoing accumulation

13. LEGAL FRAMEWORK

13.1 Applicable Tunisian Law

- **Code des Sociétés Commerciales** (Loi n° 2000-93): SARL formation and governance
- **Code des Obligations et des Contrats**: Contractual framework
- **Code du Travail**: Employment law for hired staff
- **Fiscal regulations**: Corporate tax, VAT, employee social contributions
- **INNORPI**: Product quality standards and certification
- **FIPA**: Foreign investment notification (if applicable)

13.2 Key Legal Provisions

- Co-gérance with defined authority limits

- Unanimous consent for major decisions
- Asset protection through lease (not capital contribution) structure
- Compte courant associé for shareholder loans
- Profit distribution per SARL regulations (5% legal reserve until 10% of capital)
- Non-compete and non-solicitation (2 years post-termination, Tunisia)
- Confidentiality (3 years post-termination)
- Dispute resolution: Mediation → Arbitration (CACI, Tunis)

13.3 Required Registrations & Permits

- ☐ RNE registration (Registre National des Entreprises)
- ☐ Tax identification number
- ☐ Social security registration (CNSS) for employees
- ☐ Business license (patente)
- ☐ Municipal authorization
- ☐ Environmental compliance (if applicable)
- ☐ INNORPI standards compliance (if exporting)

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14. NEGOTIATION FRAMEWORK

14.1 Plan A — 50/50 Balanced Partnership (Preferred)

Trigger: Both Partners agree on equal structure.

ELEMENT	TERMS
Ownership	50% / 50%
Management	Co-gérance, equal authority
Deadlock	Mediation → Arbitration
Protections	Anti-dilution, pre-emption, lock-up
Compensation	Equal management salaries
Profit distribution	Equal split after reserves

Ridha's position: Equal ownership reflects equal value (machines + expertise = investment + premises). This is the fairest and most sustainable structure.

14.2 Plan B — Minority with Protections (Fallback)

Trigger: Anthony insists on majority ownership.

ELEMENT	TERMS
Ownership	Negotiable (e.g., 45% Ridha / 55% Anthony)
Protections for Ridha	Veto on key decisions, guaranteed minimum salary, operational autonomy, anti-dilution
Guaranteed salary	[X] TND/month regardless of profit
Operational control	Full autonomy over production domain
Exit option	Buyout at fair market value + 2× annual salary

Ridha's bottom line: Even as minority partner, must retain operational control, guaranteed income, and protective veto rights.

14.3 Plan C — Clean Exit (Safety Net)

Trigger: Terms do not protect core interests.

ELEMENT	ACTION
Machines	Return to Ridha — no obligation
Expertise	Not transferred — Ridha walks away with full capability
Clients	Ridha retains his existing client relationships
Cost	Zero — no investment at risk
Alternative	Ridha continues operating independently or seeks other partners

Strategic reality: Ridha can walk away with all his assets and expertise intact. Anthony cannot walk away with production capability. This asymmetry gives Ridha significant negotiation leverage.

14.4 Negotiation Red Lines

Ridha should **never concede**:

1. ❌ Machine ownership transfer (must remain leased, not contributed)
2. ❌ Loss of operational decision autonomy over production
3. ❌ Zero guaranteed income (must have minimum management salary)
4. ❌ Unlimited non-compete without fair compensation
5. ❌ IP transfer of Bel Décor techniques without perpetual license back

15. EXIT STRATEGY

15.1 Voluntary Exit

- **Notice**: 6 months written notice
- **Transition**: Additional 3 months for operational handover
- **Buyout right**: Remaining Partner has first right of refusal

15.2 Valuation Method

Average of:

1. **Book value**: Net asset value from audited financial statements
2. **Earnings multiple**: 3× average annual net profit of preceding 2 years

Independent valuation by certified expert if Partners cannot agree.

15.3 Forced Exit Triggers

- Material breach (30 days cure period)
- Insolvency or bankruptcy filing
- Criminal conviction affecting the business
- Non-performance of role for 3+ consecutive months
- Breach of non-compete

15.4 Asset Distribution on Dissolution

PRIORITY	ACTION
1	Leased assets return to respective owners
2	Company debts settled from company assets
3	Compte courant balances reimbursed
4	Remaining assets distributed per shareholding
5	DecoLux brand: usage negotiated or retired

15.5 Post-Exit Obligations

- 90-day client transition period
- 2-year non-compete (Tunisia, glass decoration)
- 18-month client non-solicitation

- 3-year confidentiality
- Return of all company property and data

16. APPENDICES

Appendix A: Glossary of Terms

TERM	DEFINITION
SARL	Société à Responsabilité Limitée — Limited Liability Company under Tunisian law
Co-gérance	Co-management — both partners serve as managers
Compte courant associé	Shareholder current account / loan — advances made by partners to the company
RNE	Registre National des Entreprises — National Business Registry
CNSS	Caisse Nationale de Sécurité Sociale — National Social Security Fund
INNORPI	Institut National de la Normalisation et de la Propriété Industrielle
FIPA	Foreign Investment Promotion Agency
CACI	Centre d'Arbitrage et de Conciliation Industriels
Droit de préemption	Pre-emption right — first right of refusal on share transfers
Apport en nature	Contribution in kind (assets contributed as capital)

Appendix B: Financial Assumptions

ASSUMPTION	VALUE	BASIS
Working days per month	22	Standard Tunisian business calendar
Production capacity	2,000 pieces/day	Current machine capability
Average selling price	3.0 – 5.0 TND	Market research
Average margin	1.5 TND (blended)	Weighted across segments
Monthly cost growth	2-3% per year	Inflation adjustment
Revenue growth (Year 2+)	40-60% Year 2, 30-40% Year 3	Market penetration curve
Management salaries	To be negotiated	Not included in 12K cost estimate
Tax rate	15-25%	Per Tunisian corporate tax schedule

Appendix C: Pre-Launch Checklist

Legal & Administrative

- ☐ MOU signed by both Partners
- ☐ Independent machine valuation completed
- ☐ Premises inspection completed
- ☐ Legal counsel retained by each Partner
- ☐ SARL statuts drafted and approved
- ☐ Company registered with RNE
- ☐ Tax identification obtained
- ☐ Bank account opened
- ☐ Business licenses obtained
- ☐ Insurance policies in place

Operational

- ☐ Machines installed and tested
- ☐ Premises prepared for production and showroom

- ☐ Raw materials sourced and initial inventory purchased
- ☐ Production staff recruited and trained
- ☐ Quality control processes documented
- ☐ Safety procedures established

Commercial

- ☐ DecoLux brand identity created (logo, colors, guidelines)
- ☐ Marketing materials prepared
- ☐ Website launched
- ☐ First 5 client prospects identified and contacted
- ☐ Pricing finalized for all product lines
- ☐ Showroom set up and ready for clients

Governance

- ☐ Governance charter signed
- ☐ KPI targets agreed upon
- ☐ Meeting schedule established
- ☐ Reporting templates created
- ☐ Accounting system set up
- ☐ Bank signatories confirmed

Appendix D: Governance Charter Template

DecoLux Governance Charter

Purpose: Define the rules of engagement between Partners.

Principles:

1. Transparency in all financial and operational matters
2. Respect for defined domains of authority
3. Collaborative decision-making on strategic issues
4. Regular communication and no surprises
5. Fairness in value distribution

Escalation Ladder:

1. Direct conversation (24 hours)
2. Written communication (48 hours)
3. Scheduled meeting (7 days)
4. External advisor facilitation (21 days)
5. Formal mediation (60 days)
6. Binding arbitration (as last resort)

Annual Review: This charter is reviewed and updated annually at the strategic assessment meeting.

End of Document

DecoLux Business Alliance — Where Craft Meets Commerce Bel Décor × MEZZO GRP — Tunisia — 2026